

but surely there must be some point at which the return to the stockholders must also be considered. Were this not so, corporations would be constantly raising money from their owners and they would never pay any part of it back in dividends. It should be pointed out that the mania for debt retirement in 1927–1929 has had a disturbing effect upon our banking situation, since it eliminated most of the good commercial borrowers and replaced them by second-grade business risks and by loans on stock collateral, which were replete with possibilities of harm.

Significance of the Foregoing to the Investor. The above analysis of the course of industrial bond borrowing in the last 15 years is not irrelevant to the theme of this chapter, *viz.*, the application of depression standards to the selection of fixed-value investments. Recognizing the necessity of ultra-stringent criteria of choice in the industrial field, the bond buyer is faced by a further narrowing of eligible issues due to the elimination of funded debt by many of the strongest companies. Clearly his reaction must not be to accept the issues of less desirable enterprises, in the absence of better ones, but rather to refrain from any purchases on an investment basis if the suitable ones are not available. It appears to be a financial axiom that whenever there is money to invest, it is invested; and if the owner cannot find a good security yielding a fair return, he will invariably buy a poor one. But a prudent and intelligent investor should be able to avoid this temptation, and reconcile himself to accepting an unattractive yield from the best bonds, in preference to risking his principal in second-grade issues for the sake of a large coupon return.

Summary. The rule that bonds should be bought on the basis of their ability to withstand depression has been part of an old investment tradition. It was nearly lost sight of in the prosperous period culminating in 1929, but its importance was made painfully manifest during the following collapse and demonstrated again in the 1937–1938 recession. The bonds of reasonably capitalized electric and gas companies have given a satisfactory account of themselves during this decade and the same is true—to a lesser degree—of the relatively few railroads which showed a large margin above interest charges prior to 1930. In the industrial list, however, even an excellent past record has in many cases proved undependable, especially where the company is of small or moderate size. For this reason, the investor would seem to gain better protection against